TSMC

3Q sales exceed high end of guidance; GM to stay in mid-/high-60% range for FY26E

Overweight

2330.TW, 2330 TT
Price (08 Oct 26):NT$2550.0
Price Target (Jun-27):NT$3300.0

Technology and Telecoms

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TSMC's September revenue reached NT$512bn, down 0.6% MoM, but up 55% YoY. Preliminary 3Q26 sales came in at NT$1,494bn, up 18% QoQ, exceeding the high end of 3Q26 USD guidance (US$44.6bn-45.8bn) and running 2-3% above JPMe/consensus. We attribute the outperformance to sustained demand for leading-edge wafers on robust datacenter AI momentum and a strong N2 ramp, albeit still capped by tight N3 capacity. On 3Q GM, we expect the company to reach the high end of guidance (JPMe 66.8% vs. guided 65-67%), underpinned by elevated N3/N5 UTR and price hikes, partially offset by N2 and overseas fab dilution and a stronger TWD in 2H26. Overall, we expect TSMC's 2026 revenue to grow 41% YoY in USD terms (44% in NT$ terms), exiting the year with GMs at ~66.9%. Looking ahead to the 3Q26 earnings call, we see the key watchpoints as: (1) continued strong demand for AI compute build-out, with tight leading-edge supply extending into 2028; (2) a more aggressive N3/N2 capacity expansion plan, with A14 production likely pulled forward, implying mild upside to 2026 capex; and (3) firm messaging on competitive positioning and leading-edge market share.

- **Accelerated leading-edge capacity expansion; capex likely to reach $100bn in 2028, with room for upside:** While incremental N3 capacity kicks in at Tainan and in the US over the coming quarters, we believe N3 is likely to remain tight through 2027. We expect the tightness to ease only in 2028 as more capacity comes online and next-generation AI accelerators and CPUs gradually migrate to N2. We now expect N3 capacity to reach 178k/223k/250k wfpm by year-end 2026/27/28. On N2, we see a stronger ramp, as TSMC aims to minimize the demand-supply gap it has experienced at N3, taking N2 capacity to 118k/210k wfpm by end-2027/end-2028. Our checks suggest the N2 yield ramp is progressing well (for both Apple A20 Pro and AMD Venice/ MI450), which should drive a stronger ramp from 2H27 with more AI accelerators and CPUs adopting N2/A16. Beyond N3/N2, our checks indicate the A14 ramp is tracking ahead of schedule, with mass production coming through 2H28 vs. the general market assumption of revenue in 2029. We believe TSMC is attempting to enable 2028 iPhones to migrate to A14 (back to a two-year cadence for process migration), which may be required to provide adequate capacity for HPC/AI (mostly on N2 and A16) and smartphone (likely A14 if the pull-in is executed successfully). Given the aggressive leading-edge capacity pipeline, we expect TSMC's capex to reach $64bn/$86bn/$100bn in 2026/27/28, with potential for upside in 2028, given the A14 pull-in. Longer-term, we believe the potential collaboration with TSLA underscores TSMC's willingness to keep building capacity at a rapid pace, and the discussions on a second US fab cluster in Texas appear to be entering the final stage (likely ramping beyond 2030), reinforcing the longevity of this investment cycle.
- **Continued solid growth to extend into 2028, fueled by still-insatiable compute demand and the N2 ramp:** On the demand side, we see growth extending into 2028, given still-insatiable compute demand from accelerators, CPUs and interconnects. We believe N2/A16 should be the primary driver in 2028, accounting for 30%+ of total wafer revenue, with flagship accelerators (NVDA Feynman, AMD MI500, TPU v9, Trainium 4, etc.) and datacenter CPUs (AMD Venice, NVDA Rosa, Google Axion 3, Graviton 6, etc.) all

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migrating to N2/A16, alongside incremental contributions from new programs such as OpenAI Serrano and MTIA 600. While N3 demand should continue to be supported by networking, HBM base dies and memory controllers, we anticipate some capacity conversion from N3 to N2 in the 2028-29 timeframe, providing further support to meet surging N2 demand. We expect TSMC's 2028 revenue to retain strong momentum, growing ~30% YoY off a high base.

- **GMs to stay in the mid-/high-60% range near-term, supported by broad-based leading-edge price hikes:** Given increasing N2 and overseas fab dilution, we expect TSMC's GM to stay in the mid-/high-60% range near-term, resulting in a ~66.9% GM for FY26. Looking into 2027, we believe TSMC can hold GMs in the high-60% range (JPMe 67.8%) as price hikes take effect from 1Q27 and cross-fab collaboration continues, offsetting N2 ramp dilution. Given strong demand and tight supply, we expect the 2027 price increase to be broad-based, with leading edge up ~10% and mature nodes (N7 and above) seeing a low- to mid-single-digit increase. We thus expect blended ASPs to rise 25% YoY in 2027, outpacing the 2026 increase (JPMe 17%), further underpinned by a higher HPC contribution at N3 (20-25% price premium vs. mobile) and a richer N2 mix. Once N2 yields improve, GM dilution settles down and customer diversity picks up (more HPC and AI customers in 2028), we believe GMs could start moving up again.

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Investment Thesis, Valuation and Risks

TSMC *(Overweight; Price Target: NT$3300.0)*

Investment Thesis

We are OW on TSMC, given continued strong leading-edge wafer demand from AI, along with stronger efforts for capacity expansion in N3 and N2, as well as an earlier ramp of A14. We expect A14 to go into mass production in 1H28, which could generate some revenue in 2H28. We believe the tight leading-edge wafer supply will extend into 2027-28 and expect TSMC to continue its accelerated capacity build plans into 2028. We expect GMs to stay in the mid-/high-60% range due to continued N2 dilution balanced by strong N3 demand, price hikes in 1H27 and continued cross-fab collaboration. We believe GMs have a chance to approach 70% levels once N2 dilution becomes modest (likely in late 2027 or early 2028). We believe TSMC's leading industry position is intact, with its leading-edge process technology remaining ahead of its peers' and its mature nodes continuing to grow with a focus on high-value segments.

Valuation

Our Jun-27 PT of NT$3,300 is based on ~20x 12-month forward P/E and reflects strong revenue growth from stronger AI demand and faster capacity growth. Our target multiple is higher than TSMC's five-year average historical multiple.

Risks to Rating and Price Target

Key downside risks include: (1) the debate on the duration of the AI capex growth cycle; and (2) any negative impact from weak PC/smartphone demand in 2H26.

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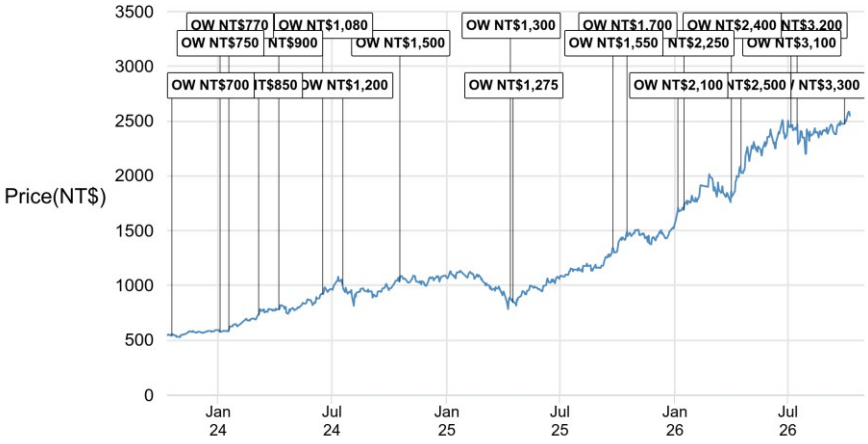
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TSMC (2330.TW, 2330 TT) Price Chart



Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Apr 28, 2002. All share prices are as of market close on the previous business day.

Date	Rating	Price (NT$)	Price Target (NT$)
20-Oct-23	OW	546.0	700
04-Jan-24	OW	578.0	750
19-Jan-24	OW	588.0	770
06-Mar-24	OW	730.0	850
07-Apr-24	OW	780.0	900
17-Jun-24	OW	922.0	1,080
19-Jul-24	OW	1005.0	1,200
18-Oct-24	OW	1035.0	1,500
13-Apr-25	OW	889.0	1,300
18-Apr-25	OW	847.0	1,275
24-Sep-25	OW	1340.0	1,550
17-Oct-25	OW	1485.0	1,700
07-Jan-26	OW	1705.0	2,100
16-Jan-26	OW	1690.0	2,250
02-Apr-26	OW	1855.0	2,400
17-Apr-26	OW	2085.0	2,500
07-Jul-26	OW	2460.0	3,100
17-Jul-26	OW	2470.0	3,200
30-Sep-26	OW	2475.0	3,300

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